

Q&A — AS 11 — The Effects of Changes in Foreign Exchange Rates

Scope note: This bank follows AS 11 (revised 2003) as applicable to CA Intermediate Advanced Accounting. All amounts in Indian Rupees (₹). Exchange rates are quoted as ₹ per 1 unit of foreign currency (FC) unless stated. Ignore AS 11 para 46/46A (optional capitalisation of exchange differences on long-term monetary items) unless a question specifically invokes it.

Section A — Concept-Check Questions (test the WHY)

A1. What is the single classification question that decides the entire accounting treatment of a foreign currency item at the balance sheet date? Model answer: Whether the item is **monetary or non-monetary**. Monetary items (cash, receivables, payables, loans) are restatable and are reported at the **closing rate**; non-monetary items (fixed assets, inventory, investments in shares) are **not restated** and stay at the exchange rate on the transaction date (historical rate), or, if carried at fair value, at the rate when that value was determined. Getting this split right is 80% of every AS 11 problem.

A2. Why are exchange differences on monetary items recognised in the Statement of Profit & Loss and NOT deferred? Model answer: AS 11 follows the view that a change in the exchange rate between transaction date and settlement/reporting date is a change in the reporting-currency amount the enterprise will actually pay or receive. It is a genuine gain or loss of the current period, so it is recognised in P&L in the period in which it arises. Deferral would hide a real economic effect.

A3. Distinguish "closing rate", "average rate", and "exchange rate at the date of transaction". Model answer: *Transaction date rate* = spot rate on the day the transaction is first recognised (used for initial recording and for non-monetary items). *Closing rate* = spot rate at the balance sheet date (used to restate monetary items). *Average rate* = a rate approximating the actual rates during a period, used for convenience to translate a large volume of similar transactions (e.g., income and expenses of a non-integral operation).

A4. Why does a non-integral foreign operation's exchange differences go to a "Foreign Currency Translation Reserve" (FCTR) instead of P&L? Model answer: A non-integral operation carries on business with substantial autonomy; the parent's exposure is only to its **net investment**, not to the individual assets/liabilities. The exchange differences are unrealised and relate to the net investment as a whole. Routing them to FCTR (equity) until disposal avoids distorting the parent's current profit with fluctuations it has not realised.

A5. When a forward exchange contract is taken for hedging (not speculation/firm commitment), how is the premium/discount treated, and why is it separated from the exchange difference? Model answer: The **premium or discount** at inception (difference between

forward rate and spot rate on the contract date) is **amortised as expense/income over the life of the contract**, because it is the cost of the forward cover and relates to the whole period. The **exchange difference** on the contract (movement between reporting dates on the underlying spot) is recognised in **P&L in the period of change**. They have different economic natures, hence separate treatment.

A6. Why is an integral foreign operation translated as if the reporting enterprise itself carried out the transactions? Model answer: An integral operation is merely an extension of the parent's own operations (e.g., a dependent branch). Its cash flows directly affect the parent. So its items are translated using the same rules the parent would apply to its own foreign currency items — monetary at closing rate, non-monetary at historical rate, differences to P&L.

A7. A reclassification from integral to non-integral happens. From which date is the new method applied, and what happens to earlier differences? Model answer: The change is applied **from the date of the change (prospectively)**. On reclassification to non-integral, the translated amount of non-monetary items at the date of change is treated as the historical cost going forward. Exchange differences already recognised in P&L are **not reversed**. (Reclassification is a change in circumstances, not a change in accounting policy.)

Section B — Graded Computational / Practical Problems

B1 (Easy) — Import purchase, settlement in same year

On 1-Jan, A Ltd imports goods worth USD 10,000 when the rate is ₹74/USD. Payment is made on 1-Mar when the rate is ₹76/USD.

Step 1 — Record purchase at transaction rate: $10,000 \times 74 = ₹7,40,000$. Step 2 — Settlement outflow: $10,000 \times 76 = ₹7,60,000$. Step 3 — Exchange difference (loss) = $7,60,000 - 7,40,000 = ₹20,000$, charged to P&L.

Journal entries: - 1-Jan: Purchases A/c Dr 7,40,000 / To Creditor 7,40,000 - 1-Mar: Creditor Dr 7,40,000; Exchange Loss Dr 20,000 / To Bank 7,60,000

B2 (Easy-Moderate) — Monetary vs non-monetary at year end

X Ltd (year end 31-Mar) has on its books: (a) machinery bought for USD 50,000 on 1-Oct at ₹73/USD; (b) creditor of USD 50,000 for that machinery, unpaid at year end. Closing rate 31-Mar = ₹75/USD.

Step 1 — Machinery is **non-monetary** → stays at $50,000 \times 73 = ₹36,50,000$ (no restatement). Step 2 — Creditor is **monetary** → restate at closing: $50,000 \times 75 = ₹37,50,000$. Original recorded value 36,50,000. Step 3 — Exchange difference = $37,50,000 - 36,50,000 = ₹1,00,000$ loss to P&L.

Key trap: the machinery is NOT written up. Only the creditor moves. Entry: Exchange Loss Dr 1,00,000 / To Creditor 1,00,000.

B3 (Moderate) — Loan taken, two balance-sheet dates

On 1-Jul-20X1 P Ltd borrows USD 1,00,000 (rate ₹70). Year end 31-Mar-20X2 rate ₹72. Repaid 30-Jun-20X2 at ₹71.

Year 20X1-22: - Initial liability: $1,00,000 \times 70 = 70,00,000$. - At 31-Mar-X2: restate to $1,00,000 \times 72 = 72,00,000 \rightarrow$ loss ₹2,00,000 to P&L. Liability carried at 72,00,000.

Year 20X2-23: - On repayment: $1,00,000 \times 71 = 71,00,000$ paid. Liability was 72,00,000 $\rightarrow$ **gain ₹1,00,000** to P&L. Net over life = 1,00,000 loss (70,00,000 $\rightarrow$ 71,00,000), correctly split across periods.

B4 (Moderate) — Export receivable with advance received

Q Ltd exports goods USD 40,000 on 15-Feb (rate ₹80). It had received an advance of USD 10,000 on 1-Jan (rate ₹78). Balance USD 30,000 received on 10-Apr (rate ₹81). Year end 31-Mar (rate ₹79).

Step 1 — Advance is a **non-monetary** liability (performance obligation) once received; the USD 10,000 portion of revenue is recognised at the advance date rate ₹78 $\rightarrow$ ₹7,80,000. (Advance received against goods is not restated.) Step 2 — Remaining USD 30,000 recognised at transaction rate ₹80 $\rightarrow$ ₹24,00,000. Total revenue = ₹31,80,000. Receivable = USD 30,000 (monetary). Step 3 — 31-Mar restate receivable: $30,000 \times 79 = 23,70,000$ vs 24,00,000 $\rightarrow$ **loss ₹30,000** to P&L. Step 4 — 10-Apr receipt: $30,000 \times 81 = 24,30,000$ vs carried 23,70,000 $\rightarrow$ **gain ₹60,000** to P&L (next year).

Note: Under AS 11 the settled portion covered by advance uses the advance rate; only the unsettled monetary receivable is restated. (This mirrors the ICAI treatment of non-monetary advance consideration.)

B5 (Exam-hard) — Forward contract for hedging, straddling year end

R Ltd has a payable of USD 2,00,000 due on 30-Jun-20X2. On 1-Jan-20X2 it enters a 6-month forward contract to buy USD 2,00,000. Rates: - Spot on 1-Jan-X2: ₹74; Forward rate (for 30-Jun): ₹75.50 - Spot on 31-Mar-X2 (year end): ₹74.80 - Spot on 30-Jun-X2: ₹75.20

Step 1 — Premium on contract = Forward – Spot at inception = $(75.50 - 74.00) \times 2,00,000 = ₹3,00,000$. This is amortised over the 6-month contract life (1-Jan to 30-Jun). - Amortised to 31-Mar (3 months): $3,00,000 \times 3/6 = ₹1,50,000$ expense in 20X1-X2. - Remaining ₹1,50,000 expense in 20X2-X3.

Step 2 — Exchange difference on the underlying payable/contract (movement in spot): - 1-Jan spot 74 $\rightarrow$ 31-Mar spot 74.80: $(74.80 - 74.00) \times 2,00,000 = ₹1,60,000$ loss in 20X1-X2 to P&L. - 31-Mar 74.80 $\rightarrow$ 30-Jun 75.20: $(75.20 - 74.80) \times 2,00,000 = ₹80,000$ loss in 20X2-X3.

Step 3 — Total P&L impact - 20X1-X2: Premium amortisation 1,50,000 + Exchange loss 1,60,000 = **₹3,10,000 charge**. - 20X2-X3: Premium 1,50,000 + Exchange loss 80,000 = **₹2,30,000 charge**.

Cross-check: The forward locks the cost at ₹75.50 = ₹1,51,00,000 ($2,00,000 \times 75.50$). Recorded payable at inception spot ₹74 = ₹1,48,00,000. Total extra cost = ₹3,00,000 premium + net spot movement ($75.20 - 74.00 = 1.20 \rightarrow 2,40,000$) recognised = 1,60,000 + 80,000. All consistent.

B6 (Exam-hard) — Forward contract for SPECULATION

S Ltd, on 1-Feb-20X2, takes a forward contract to sell USD 1,00,000 at forward rate ₹76, purely for trading (no underlying). Year end 31-Mar-X2. On 31-Mar the forward rate for the remaining maturity is ₹74.50.

Rule: For a forward contract **not covering an existing exposure / for trading**, premium/discount is **NOT amortised**. Instead, gain/loss = difference between the **contracted forward rate and the forward rate available at the reporting date** for the remaining maturity, recognised in P&L. - Since S Ltd agreed to **sell** at 76 and can now cover (buy back) at 74.50: gain = $(76.00 - 74.50) \times 1,00,000 = \text{₹}1,50,000$ gain to P&L in 20X1-X2. - The premium/discount is recognised as part of this fair-value gain/loss (not separately amortised).

Contrast with B5: hedging contract → amortise premium + spot difference; speculative contract → mark to the forward rate, single gain/loss.

B7 (Exam-hard) — Non-integral operation: translation of a foreign subsidiary/branch

T Ltd (India) has a **non-integral** branch in USA. Trial balance in USD and the rates:

Item	USD	Rate applied	₹
Fixed assets	5,00,000	(translation) closing 76	3,80,00,000
Inventory (closing)	1,00,000	closing 76	76,00,000
Debtors/Cash (monetary)	2,00,000	closing 76	1,52,00,000
Creditors	(1,50,000)	closing 76	(1,14,00,000)
Sales	8,00,000	average 74	5,92,00,000
Expenses	6,50,000	average 74	4,81,00,000
Opening net investment/capital	—	historical	given

Rule for a non-integral operation (AS 11 para 24): - **All assets and liabilities** (both monetary AND non-monetary) → **closing rate**. - **Income and expenses** → rate at date of transaction (or average rate for practicality). - **Resulting exchange difference** → **accumulate in FCTR (equity)**, not P&L; recycled to P&L only on disposal of the operation.

So the balancing figure after translating assets, liabilities at closing and P&L at average, against equity at historical, is the FCTR. This is the defining contrast with an integral operation (which uses closing for monetary, historical for non-monetary, and routes differences to P&L).

B8 (Moderate) — Integral operation (dependent foreign branch)

Same branch as B7 but classified as **integral**. Fixed assets USD 5,00,000 acquired when rate was ₹70; closing rate ₹76. - Fixed assets (non-monetary) → historical rate ₹70 → ₹3,50,00,000 (NOT ₹3,80,00,000). - Monetary items (debtors, cash, creditors) → closing ₹76. - Inventory at cost → historical (rate when purchased) subject to NRV. - Exchange difference → **P&L**, not FCTR. Contrast: an integral branch's fixed assets are ₹30,00,000 lower here and the differences hit profit, changing reported earnings materially versus B7.

Section C — Past-Paper-Style Full Questions (ICAI pattern)

C1. (10 marks) Comprehensive monetary/non-monetary + forward

Alpha Ltd (year end 31-Mar-20X2) reports: (i) Purchased a machine from Germany for EUR 1,00,000 on 1-Nov-20X1 (rate ₹88/EUR); creditor unpaid at year end. Closing rate ₹90/EUR. (ii) Took a loan of USD 5,00,000 on 1-Oct-20X1 (rate ₹73) to finance working capital; outstanding at year end; closing rate ₹75. (iii) Has debtors of GBP 2,00,000 recognised on 1-Dec-20X1 (rate ₹98); closing rate ₹96. Show the treatment of each and the exchange differences.

Model answer: (i) Machine (non-monetary) stays at $1,00,000 \times 88 = ₹88,00,000$ — no restatement. Creditor (monetary) restated: $1,00,000 \times 90 = ₹90,00,000 \rightarrow$ **exchange loss ₹2,00,000** to P&L. (ii) Loan (monetary liability): $5,00,000 \times (75 - 73) =$ **exchange loss ₹10,00,000** to P&L. (Being working-capital, not a depreciable asset acquisition — no capitalisation issue; recognise in P&L.) (iii) Debtors (monetary asset): $2,00,000 \times (96 - 98) =$ restated down by ₹4,00,000 → **exchange loss ₹4,00,000** to P&L. Total exchange loss to P&L = $2,00,000 + 10,00,000 + 4,00,000 =$ **₹16,00,000**.

C2. (8 marks) Forward contract — hedge across year end

Beta Ltd purchased goods on credit USD 1,00,000 on 1-Dec-20X1 when spot was ₹74. To hedge, on the same day it entered a 3-month forward maturing 28-Feb-20X2 at forward rate ₹75.20. Year end is 31-Mar-20X2 (contract already matured 28-Feb; assume settled at maturity). Spot on 31-Dec-20X1 (interim, if reporting) N/A. Compute the premium and total charge to P&L for the year.

Model answer: - Premium = $(75.20 - 74.00) \times 1,00,000 =$ **₹1,20,000**, amortised over the 3-month contract life (Dec, Jan, Feb) — all falls within 20X1-X2, so full **₹1,20,000** is expensed this year. - The transaction is locked at forward rate ₹75.20 → settlement ₹75,20,000; goods recorded at ₹74,00,000. The ₹1,20,000 difference is exactly the amortised premium; no residual exchange difference remains at year end because the contract matured and settled before year end. - **Total charge to P&L 20X1-X2 = ₹1,20,000**.

C3. (12 marks) Non-integral vs integral — conceptual + reclassification

Gamma Ltd owns a foreign operation. (a) State the criteria distinguishing an integral from a non-integral foreign operation. (b) State the translation rules for each. (c) The operation, hitherto integral,

becomes non-integral on 1-Jan-20X2. Explain the accounting.

Model answer: (a) **Indicators of non-integral** (AS 11 para 20): the operation transacts with substantial autonomy; the parent's cash flows are insulated from day-to-day activities; transactions with the parent are a low proportion of the operation's activities; the operation finances itself/from local borrowings; costs of labour, material are primarily paid in local currency; sales are mainly in local currency. Reverse indicators point to **integral** (extension of parent, frequent cash remittances, transactions mainly with parent).

(b) **Integral:** monetary items → closing rate; non-monetary items at cost → historical rate; non-monetary at fair value → rate when value determined; income/expense → transaction/average rate; exchange differences → **P&L**. **Non-integral: all assets and liabilities** → **closing rate**; income/expense → transaction/average rate; exchange differences → **FCTR (equity)** until disposal, then recycled to P&L.

(c) **On reclassification (integral → non-integral):** apply new method **from the date of change**. The translated amounts of non-monetary items on 1-Jan-20X2 become their historical cost for the non-integral method going forward. Exchange differences arising from that date accumulate in FCTR. Previously recognised P&L differences are **not restated**. (Change in classification is due to change in circumstances — prospective, not a retrospective policy change.)

C4. (6 marks) Disposal of non-integral operation

Delta Ltd disposes of its non-integral foreign operation. The FCTR carries an accumulated credit balance of ₹35,00,000. Explain the treatment on disposal.

Model answer: On disposal of a non-integral foreign operation, the **cumulative amount of the exchange differences deferred in FCTR relating to that operation is recognised (recycled) as income or expense in the Statement of Profit & Loss in the same period in which the gain or loss on disposal is recognised**. Thus the ₹35,00,000 credit in FCTR is transferred to P&L as income in the year of disposal, matched against the gain/loss on the disposal itself.

Section D — MCQs / Case Scenarios (with one-line reasoning)

D1. At the balance sheet date, a foreign currency creditor is reported at: (a) transaction date rate (b) closing rate (c) average rate (d) forward rate. **Ans: (b)** — creditors are monetary items, restated at closing rate.

D2. A fixed asset purchased in foreign currency and carried at cost is reported at: (a) closing rate (b) average rate (c) rate at date of transaction (d) year-end forward rate. **Ans: (c)** — non-monetary items at cost use the historical (transaction date) rate.

D3. Exchange differences on monetary items of an **integral** foreign operation are: (a) taken to FCTR (b) recognised in P&L (c) deferred to disposal (d) capitalised always. **Ans: (b)** — integral operation differences go to P&L.

D4. For a **non-integral** foreign operation, all assets and liabilities are translated at: (a) historical rate (b) average rate (c) closing rate (d) opening rate. **Ans: (c)** — both monetary and non-monetary at closing rate; differences to FCTR.

D5. The premium on a forward contract taken to **hedge** an existing payable is: (a) recognised fully at inception in P&L (b) amortised over the contract life (c) taken to FCTR (d) ignored. **Ans: (b)** — premium/discount on a hedging forward is amortised over the life of the contract.

D6. A forward contract taken for **speculation** is measured by: (a) amortising the premium (b) marking to the forward rate for remaining maturity at reporting date (c) using the closing spot rate (d) historical cost. **Ans: (b)** — speculative/trading forwards are marked to the current forward rate; gain/loss to P&L, no premium amortisation.

D7. Accumulated FCTR balance of a non-integral operation is transferred to P&L: (a) every year end (b) never (c) on disposal of the operation (d) on reclassification only. **Ans: (c)** — recycled to P&L in the year of disposal.

D8. Case: An Indian company recognises an export sale of USD 20,000 on 20-Mar at ₹82; still unreceived at 31-Mar when the closing rate is ₹80. The effect on P&L at year end is: (a) gain ₹40,000 (b) loss ₹40,000 (c) nil (d) loss ₹20,000. **Ans: (b)** — receivable (monetary) restated $20,000 \times (80 - 82) = ₹40,000$ loss.

D9. Inventory imported and held at year end, carried at cost, is a: (a) monetary item, restated (b) non-monetary item, not restated (c) monetary item, not restated (d) FCTR item. **Ans: (b)** — inventory is non-monetary; kept at historical rate (subject to NRV comparison).

D10. A change of a foreign operation from integral to non-integral is accounted: (a) retrospectively (b) prospectively from the date of change (c) by restating all prior years (d) through reserves only. **Ans: (b)** — it reflects a change in circumstances, applied prospectively.

D11. Case: Company took a forward to hedge; forward rate ₹77, inception spot ₹75, contract life 4 months of which 1 month falls in the current year. Premium charged to current year P&L: (a) ₹ per unit = 2 fully (b) $2 \times 1/4$ (c) $2 \times 3/4$ (d) nil. **Ans: (b)** — premium $(77 - 75 = 2)$ per unit amortised straight-line; 1 of 4 months in current year $\rightarrow 2 \times 1/4$.

D12. Which is a **monetary** item? (a) Prepaid expenses (b) Plant & machinery (c) Foreign currency term loan (d) Equity shares held as investment. **Ans: (c)** — a term loan is a monetary liability; the others are non-monetary.

D13. Case: Advance of USD 5,000 received against future export when rate was ₹79; goods later exported when rate ₹81. Revenue for the advance portion is recognised at: (a) ₹81 (b) ₹79 (c) closing rate (d) average. **Ans: (b)** — advance consideration (non-monetary) fixes that portion of revenue at ₹79, the rate on the date the advance was received.

D14. Exchange difference arising on a monetary item is recognised: (a) only on settlement (b) only at year end (c) in the period in which it arises (settlement and each reporting date) (d) deferred to future periods. **Ans: (c)** — recognised in P&L in the period the rate changes, i.e., at each reporting date and on settlement.

D15. Disclosure required by AS 11 includes: (a) the amount of exchange differences included in net profit or loss (b) net exchange differences in FCTR with a reconciliation (c) both (a) and (b) (d) neither.

Ans: (c) — AS 11 requires disclosure of exchange differences in P&L and the movement/reconciliation of FCTR (net investment translation reserve).